MULUND COLLEGE OF COMMERCE (AUTONOMOUS)

Programme: B. Com (Business Administration) **Class: TYBBA** **Semester: V**

Exam: External **Name of the Subject: Direct Taxes**

Date of Exam: 11/10/2025 **Marks: 30** **Time: 1 Hours**

Instructions: 1) Figures to the right indicate maximum marks.

Q.1 A) Mr. Spectar is a U.S.A. citizen. He came to India on 10th October, 2024 for a visit and was in India till 31st March, 2025. In the earlier previous years, he is in India as under: **[15]**

Previous Year	**No. of Days**
2014-15	180 days
2015-16	198 days
2016-17	205 days
2017-18	180 days
2018-19	59 days
2019-20	285 days
2020-21	200 days
2021-22	100 days
2022-23	185 days
2023-24	192 days

Determine the residential status of Mr. Spectar for the Assessment Year 2025-26.

OR

Q.1 B) Mrs. Jenny, a UK Citizen had the following income during the year ended on 31st March, 2025:

		Rs.
1.	Income from House property in India	5,00,000
2.	Interest on debentures of Indian company, received in Switzerland	70,000
3.	Interest from bank account in India	11,000
4.	Income from business in France, being controlled from India	7,00,000
5.	Interest on Bank Account in UK	39,000
6.	Salary earned and received in Germany	3,50,000
7.	Rent from property in London received in India	4,50,000
8.	Dividend from Australian Company received in India	50,000
9.	Past untaxed profits earned in UK brought to India during the previous year	2,50,000

Compute her Total Income for the Assessment Year 2025-26, if she is: **[15]**
(i) A Resident; (ii) A Resident but Not Ordinarily Resident (iii) Non-Resident

Q.2 A) Mr. Shantanu Sahu, who is partially blind (50% disability) is employed with Drishti Pvt. Ltd. He gives you following information for the year ended 31st March, 2025. **[8]**

Particulars	**Amount (Rs.)**
Basic Salary (Net)	75,000 per month
Professional Tax deducted at source	2,500
Dearness Allowance	10,000 per month
Encashment of Leave	60,000
Perquisite value of Gas, Water and Electricity	45,000
House Rent Allowance received (Fully taxable)	48,000
Ex-gratia received	50,000
Conveyance Allowance (Amount spend on official conveyance Rs. 38,500)	56,000
Entertainment allowance received	24,000

He had a taken a loan from Canara Bank for higher education of his spouse pursuing Bachelor in

Management Studies from University of Mumbai for which he paid interest of Rs 12,000 during the year.

Compute his Net Taxable Income under Optional Tax Regime (OTR) for the Assessment Year 2025-26.

Q.2 B) Mr. Satish Kumar owns two houses in Thane. The particulars of his income for previous year 2024-25 is as follows: **[7]**

Particulars	House I (Self-Occupied)	House II (Let Out Property)
Fair rent	12,00,000	16,00,000
Municipal Valuation	12,40,000	16,20,000
Rent received	-	17,00,000
Municipal Taxes Paid	1,00,000	1,20,000
Repairs	50,000	75,000
Interest paid on loan taken for construction of house property	3,00,000	3,20,000

He paid Medical Insurance premium of Rs. 30,000 for self by cheque.

Compute his Net Taxable Income under Optional Tax Regime (OTR) for the Assessment Year 2025-26.

OR

Q.2 C) Mr. Ankit Mahadik is a proprietor of a business. Following was the Profit and Loss Account of his business for the year ended 31st March 2025. **[15]**

Particulars	Rs.	Particulars	Rs.
To Opening stock	2,34,000	By Sales	12,40,000
To Purchase	10,00,000	By Closing stock	2,05,000
To Office Salaries	57,000	By Interest on PPF	15,000
To Proprietor's Salaries	30,000	By Interest on Debentures	35,000
To Bad debts	25,000	By Dividend from Co-operative bank	25,000
To Advertisement	10,500		
To Fire Insurance Premium	4,500		
To Conveyance Expenses	6,000		
To Contribution to PPF	25,000		
To General Expenses	55,000		
To Income tax	5,000		
To Telephone expenses	14,000		
To GST penalty	4,000		
To Depreciation	30,000		
To Net Profit	20,000		
	15,20,000		**15,20,000**

Additional Information

a) The telephone is used half the time for residential purpose.
b) Purchases include Rs. 80,000 paid for cash purchases, exceeding the limits prescribed under Section 40A (3) of the Income Tax Act, 1961.
c) Depreciation allowable as per Income Tax Rules Rs. 25,000.

Compute his Net Taxable Income under Optional Tax Regime (OTR) for the Assessment Year 2025-26.